



This is how Bollinger bands look in practice. This is a 2 standard deviation Bollinger band. We see that there is a line running through the centre of the shaded area. That is the simple moving average. The two boundaries on the sides are called Bollinger bands. These are belts and the closing price is expected to stay within these bands. The width of these bands is changing. They change based on the volatility that exists in the closing prices in the recent past. During March and April, when the asset was in a strong trend, the width of Bands shot up instantly. However, following that as the sideways market emerged, the width of the bands went down significantly showing low volatility. Whenever the prices go outside the bands, there is a reversion happening and the price returns to the bands. As we discussed, the closing price hitting these bands is used for profit-booking by many analysts.